12.60 crore to CPSEs was partly for the creation of productive economic capacity and partly to support current operations.

Capital expenditure under the two broad heads of ‘Establishment’ (Rs 7.5 thousand crore) and ‘Other Transfers’ (Rs 7.5 thousand crore) were entirely meant for assistance provided by the Centre to the states, mostly Northeastern and other Himalayan states for aid/establishment support. Therefore, only a little more than half the expenditure budgeted as capital expenditure was actually capital expenditure.

Does Fiscal Deficit End Up Only Financing Massive Interest Payments?

The Government of India, on its own account, is a very large debt issuer. A large stock of debt securities have now been built with its total debt and liabilities exceeding 45 per cent of GDP. A large pre-emption of savings and credit created in the economy by the government leads to high interest rates. All this has led the interest expenditure of the government to balloon. The government classifies interest payments in five broad heads: internal debt, external debt, provident funds and other specific accounts in the Public Account, reserve funds, and other liabilities. Interest on internal debt constitutes the bulk of interest payments today. In 2017–18, interest on internal debt amounted to Rs 4,87,527 crore, which was 89.71 per cent of total interest paid (Rs 5,43,404 crore). Interest on market loans (the usual dated long-term market securities issued by the government) amounted to Rs 4,04,132 crore (74.37 per cent of total interest paid). Interest on external debt is quite small as such loans on the Government of India account are stabilized and will decline going forward. An amount of only Rs 5951 crore was paid on this account. As provident fund deposits grow at a steady rate, interest payments under this head are also small and growing slowly. In 2017–18, these amounted to Rs 33,135 crore, a negative growth rate of 2.48 per cent over 2016–17. The government usually earns some money as